Comprehensive Financial & Liquidity Report

Supermarket HQ - End of Month Summary

1. EXECUTIVE SUMMARY:

This month saw a steady increase in overall revenue by 4.2% across 1000 active SKUs. However, net profitability is under severe threat due to inventory mismanagement in the Dairy sector.

2. LIQUIDITY WARNING:

Our cash flow is currently constrained due to the recent opening of two new branches. Current Liquidity Ratio stands at 0.95, which requires strict capital preservation. We cannot afford write-offs or sunk costs at this critical expansion phase.

3. PROFITABILITY IMPACT OF INVENTORY WASTE (THE YOGURT CRISIS):

The warehouse has flagged 5,000 units of Fresh Yogurt 1L (ID: 1000) expiring in 3 days. Purchase Cost: 1.200 OMR/unit. Total Sunk Cost Exposure: 6,000 OMR.

If this stock expires, the 6,000 OMR write-off will wipe out approximately 15% of our net monthly profit. Furthermore, the disposal cost for expired dairy products will add an extra 500 OMR in waste management fees.

4. FINANCIAL AGENT STRATEGY & RECOMMENDATION:

- OPTION A (Do Nothing): 100% Loss = 6,500 OMR (including disposal).
- OPTION B (Clearance at 50% discount - 0.900 OMR): We recover 4,500 OMR in cash flow. Loss is minimized to 1,500 OMR.
- OPTION C (Buy 1 Get 1 Free - Effective price 0.900 OMR): High volume clearance. Similar financial recovery to Option B, but drives higher foot traffic to stores.

CONCLUSION: The Financial team strongly endorses the Pricing Agent to immediately authorize OPTION C. We must accept a negative margin on this specific batch to salvage 75% of the sunk capital and protect our liquidity.